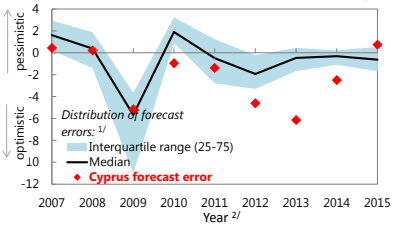
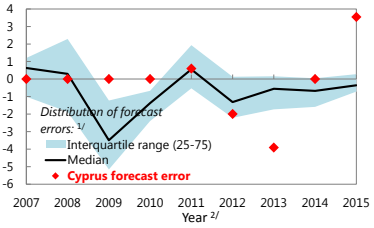
Cyprus: Public DSA - Realism of Baseline Assumptions

Forecast Track Record, versus program countries

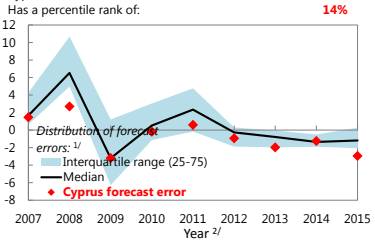
Real GDP Growth
(in percent, actual-projection)
Cyprus median forecast error, 2007-2015: -1.39
Has a percentile rank of: 17%



Primary Balance
(in percent of GDP, actual-projection)
Cyprus median forecast error, 2007-2015: 0.00
Has a percentile rank of: 58%

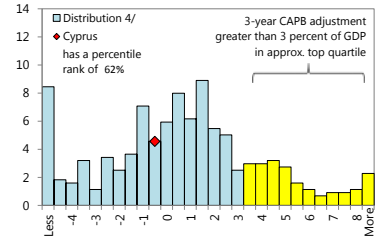


Inflation (Deflator)
(in percent, actual-projection)
Cyprus median forecast error, 2007-2015: -0.94
Has a percentile rank of: 14%

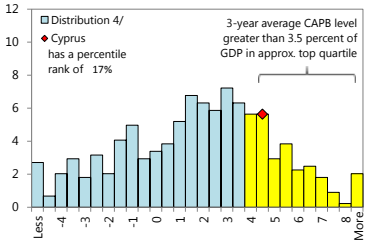


Assessing the Realism of Projected Fiscal Adjustment

3-Year Adjustment in Cyclically-Adjusted Primary Balance (CAPB)
(Percent of GDP)

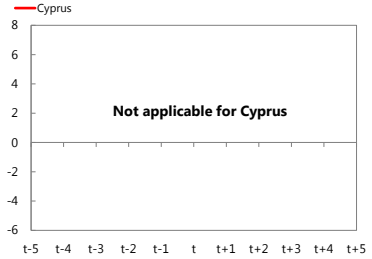


3-Year Average Level of Cyclically-Adjusted Primary Balance (CAPB)
(Percent of GDP)



Boom-Bust Analysis 3/

Real GDP growth
(in percent)
Cyprus



Source : IMF Staff.
1/ Plotted distribution includes program countries, percentile rank refers to all countries.
2/ Projections made in the spring WEO vintage of the preceding year.
3/ Not applicable for Cyprus, as it meets neither the positive output gap criterion nor the private credit growth criterion.
4/ Data cover annual obervations from 1990 to 2011 for advanced and emerging economies with debt greater than 60 percent of GDP. Percent of sample on vertical axis.

Cyprus: Public Sector Debt Sustainability Analysis (DSA)—Baseline Scenario

(in percent of GDP unless otherwise indicated)

Debt, Economic and Market Indicators [1/]

	Actual			Projections					
	2006-2014 [2/]	2015	2016	2017	2018	2019	2020	2021	2022
Nominal gross public debt	68.8	107.5	107.1	99.8	95.5	90.9	85.8	81.8	75.0
Public gross financing needs	12.7	18.1	8.9	11.1	6.3	6.7	6.3	5.4	7.8
Real GDP growth (in percent)	0.3	2.0	3.0	3.8	3.6	2.9	2.6	2.5	2.5
Inflation (GDP deflator, in percent)	1.7	-1.2	-0.9	0.1	1.7	1.3	2.3	2.2	2.3
Nominal GDP growth (in percent)	2.1	0.8	2.1	4.0	5.4	4.2	5.0	4.7	4.8
Effective interest rate (in percent) [4/]	4.4	2.6	2.4	2.4	2.5	2.7	2.8	2.9	3.0

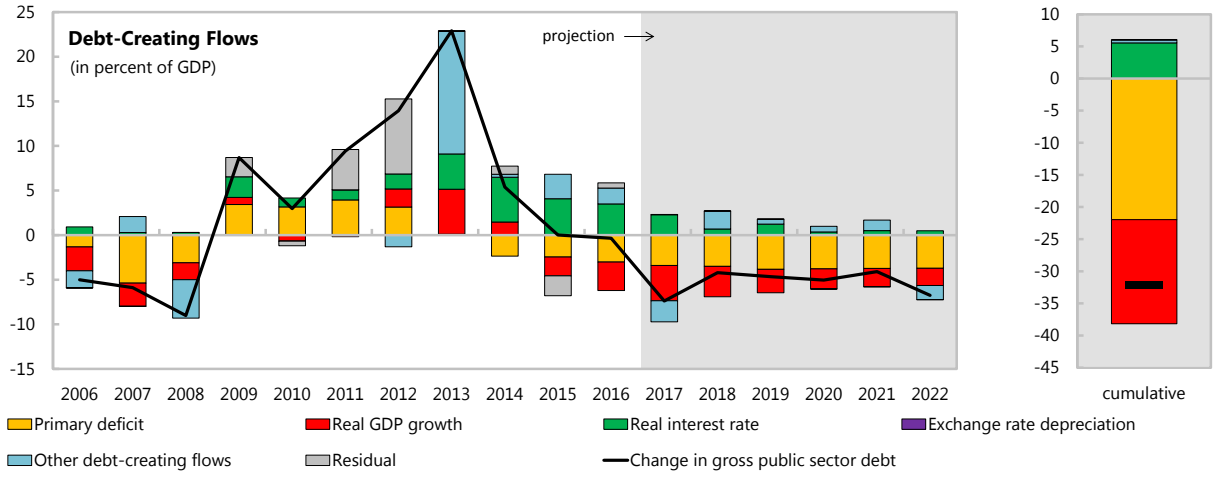
As of October 31, 2017

Sovereign Spreads	
EMBIG (bp) 3/	124
5Y CDS (bp)	207

Ratings	Foreign	Local
Moody's	Ba3	Ba3
S&Ps	BB+	BB+
Fitch	BB	BB

Contribution to Changes in Public Debt

	Actual			Projections							
	2006-2014	2015	2016	2017	2018	2019	2020	2021	2022	cumulative	debt-stabilizing primary balance [9/]
Change in gross public sector debt	4.8	0.0	-0.4	-7.4	-4.2	-4.7	-5.0	-4.1	-6.7	-32.1	
Identified debt-creating flows	3.1	2.3	-0.9	-7.4	-4.2	-4.7	-5.0	-4.1	-6.7	-32.2	
Primary deficit	0.2	-2.5	-3.0	-3.4	-3.5	-3.8	-3.8	-3.7	-3.7	-22.0	-3.0
Primary (noninterest) revenue and grants	37.5	38.6	38.8	39.7	39.7	40.0	40.0	40.0	40.0	239.4	
Primary (noninterest) expenditure	37.6	36.1	35.8	36.3	36.2	36.2	36.2	36.3	36.3	217.4	
Automatic debt dynamics [5/]	2.0	2.0	0.3	-1.7	-2.7	-1.4	-1.9	-1.5	-1.4	-10.7	
Interest rate/growth differential [6/]	2.0	2.0	0.3	-1.7	-2.7	-1.4	-1.9	-1.5	-1.4	-10.7	
Of which: real interest rate	1.8	4.1	3.5	2.3	0.7	1.2	0.3	0.5	0.5	5.5	
Of which: real GDP growth	0.1	-2.1	-3.2	-4.0	-3.4	-2.6	-2.2	-2.0	-1.9	-16.2	
Exchange rate depreciation [7/]	0.0	0.0	0.0	...	...	...	...	...	...	...	
Other identified debt-creating flows	0.9	2.7	1.8	-2.4	2.0	0.6	0.6	1.2	-1.6	0.5	
Privatization/Drawdown of Deposits (+ r	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Other debt-creating flows	0.9	2.7	1.8	-2.4	2.0	0.6	0.6	1.2	-1.6	0.5	
Residual, including asset changes [8/]	1.7	-2.2	0.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0	



Source: IMF staff.

1/ Public sector is defined as general government.

2/ Based on available data.

3/ Long-term bond spread over German bonds.

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as [(r - π(1+g) - g + ae(1+r)]/(1+g+π+gπ)) times previous period debt ratio, with r = interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

8/ Includes asset changes and interest revenues (if any). For projections, includes exchange rate changes during the projection period.

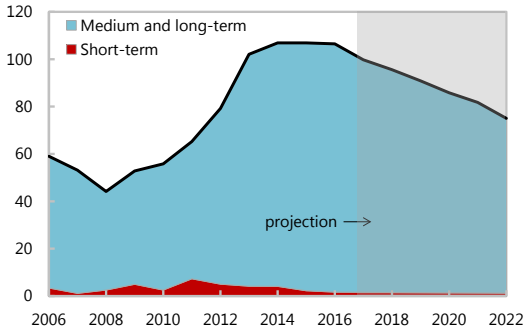
9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.

Cyprus: Public DSA - Composition of Public Debt and Alternative Scenarios

Composition of Public Debt

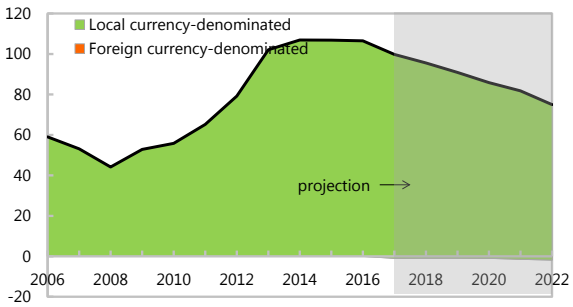
By Maturity

(in percent of GDP)



By Currency

(in percent of GDP)

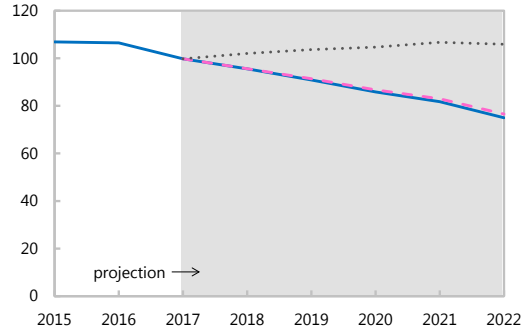


Alternative Scenarios

Baseline — Historical — Constant Primary Balance

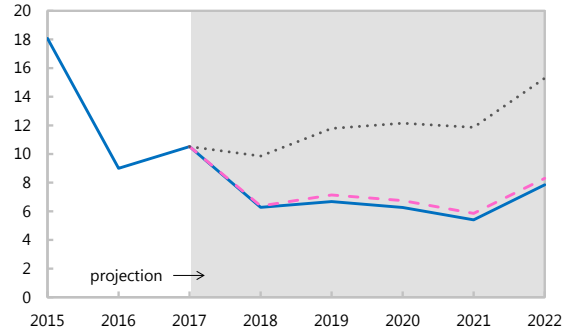
Gross Nominal Public Debt

(in percent of GDP)



Public Gross Financing Needs

(in percent of GDP)



Underlying Assumptions

(in percent)

Baseline Scenario	2017	2018	2019	2020	2021	2022
Real GDP growth	3.8	3.6	2.9	2.6	2.5	2.5
Inflation	0.1	1.7	1.3	2.3	2.2	2.3
Primary Balance	3.4	3.5	3.8	3.8	3.7	3.7
Effective interest rate	2.4	2.5	2.7	2.8	2.9	3.0
Constant Primary Balance Scenario						
Real GDP growth	3.8	3.6	2.9	2.6	2.5	2.5
Inflation	0.1	1.7	1.3	2.3	2.2	2.3
Primary Balance	3.4	3.4	3.4	3.4	3.4	3.4
Effective interest rate	2.4	2.5	2.7	2.8	2.9	3.0

Historical Scenario	2017	2018	2019	2020	2021	2022
Real GDP growth	3.8	0.3	0.3	0.3	0.3	0.3
Inflation	0.1	1.7	1.3	2.3	2.2	2.3
Primary Balance	3.4	0.2	0.2	0.2	0.2	0.2
Effective interest rate	2.4	2.5	2.9	3.2	3.5	3.8

Source: IMF staff.